

NBA financial formulas & exemptions

Title: Short Title and Commencement of the 2025 ABS Regulations

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (Access to Biological Resources and Knowledge Associated thereto and Fair and Equitable Sharing of Benefits) Regulations, 2025, Regulation 1

Plain English Summary:

Regulation 1 names these Regulations and confirms they took effect immediately on gazette publication (29 April 2025), replacing the old 2014 ABS Guidelines. For an Ayurvedic business, this is the rulebook that now governs exactly how much benefit-sharing you owe and to whom.

The Exact Legal Text:

1. Short title and commencement.—(1) These regulations may be called the Biological Diversity (Access to Biological Resources and Knowledge Associated thereto and Fair and Equitable Sharing of Benefits) Regulations, 2025.
(2) They shall come into force on the date of their publication in the Official Gazette.

Keywords/Triggers:

2025 ABS Regulations, benefit sharing rulebook, supersession 2014 guidelines, effective date ABS regulation, current benefit sharing law

Title: Key Definitions Under the 2025 ABS Regulations

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 2

Plain English Summary:

Regulation 2 defines "authorised officer," "Board," "Council," "Committee," "fee," "Tribunal," and, importantly, "upfront payment" — an amount payable before access even begins. For an Ayurvedic applicant, this last term matters because certain high-value resources require payment before you can even start using them, not just at the end.

The Exact Legal Text:

2. Definitions.—(1) In these regulations, unless the context otherwise requires,—
- (a) "Act" means the Biological Diversity Act, 2002 (18 of 2003);
 - (b) "authorised officer" means any officer authorised by the Authority or State Biodiversity Board or Union territory Biodiversity Council for the purposes of this regulations;
 - (c) "Authority" means the National Biodiversity Authority established under sub-section (1) of section 8 of the Act;
 - (d) "Board" means the State Biodiversity Board established under sub-section (1) of section 22 of the Act;
 - (e) "Committee" means a Biodiversity Management Committee established under sub-section (1) of section 41 of the Act;
 - (f) "Council" means the Union territory Biodiversity Council established under sub-section (2) of section 22 of the Act;
 - (g) "fee" means any fee as specified in the First Schedule to the Biological Diversity Rules, 2024;
 - (h) "rules" means the Biological Diversity Rules, 2024;
 - (i) "Tribunal" means the National Green Tribunal established by section 3 of the National Green Tribunal Act, 2010 (19 of 2010);
 - (j) "upfront payment" means any amount to be paid before accessing the biological resource or knowledge associated thereto by the applicant.
- (2) The words and expressions used but not defined in these Regulations and defined in the Act or Rules shall have the meaning respectively assigned to them in the Act and Rules.

Keywords/Triggers:

upfront payment definition, ABS regulation definitions, authorised officer, Board Council Committee, NGT Tribunal reference.

Title: Benefit Sharing for Research/Bio-Survey Access to High-Value Resources

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 3

Plain English Summary:

Regulation 3 covers non-commercial access (research/bio-survey) to high-conservation-value resources (red sanders, sandalwood, agarwood, or any Section 38 threatened species) — the NBA can demand an upfront payment case-by-case, but pure academic research can be fully waived. For an Ayurvedic research institute studying a rare or endangered medicinal plant purely academically, this is your route to a possible fee waiver.

The Exact Legal Text:

3. Mode of benefit sharing for accessing biological resource including digital sequence information or knowledge associated thereto for research or bio-survey and bio-utilisation under section 3 of the Act.—(1) In case a biological resource including digital sequence information or knowledge associated thereto, having conservation value or high economic value such as red sanders, sandalwood, agarwood or any other items as decided by the Authority from time to time, and including threatened species notified under section 38 of the Act, is accessed for research or for bio-survey and bio-utilisation, the benefit sharing including the upfront payment may be determined by the Authority:

Provided that the Authority may also require upfront payment on certain biological resources including digital sequence information or knowledge associated thereto, when accessed for research or for bio-survey and bio-utilisation, on case to case basis:

Provided further that in case a biological resource including digital sequence information or knowledge associated thereto, is accessed for conducting academic research, the Authority may waive the benefit sharing including upfront payment, as it deems fit, on case to case basis.

Keywords/Triggers:

academic research waiver, upfront payment research, high value resource research, red sanders sandalwood agarwood, DSI research access, bio-survey benefit sharing

Title: Turnover-Based Benefit Sharing for Commercial Utilisation (Section 3 / Foreign-Linked Applicants)

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 4

Plain English Summary:

Regulation 4 is the core financial formula for foreign-linked (section 3) applicants commercialising an Indian biological resource: benefit sharing is a percentage of your annual gross ex-factory sale price (excluding government taxes), on a sliding scale by your annual turnover — nil up to ₹5 crore, rising to 0.6% above ₹250 crore. High-value/threatened resources instead get a flat minimum of 5% of the sale/auction/purchase price as an upfront payment, rising to 20% more if digital sequence information is also involved. Anyone with turnover above ₹1 crore must also file an annual disclosure statement (Form A) within 3 months of finalising their tax return.

The Exact Legal Text:

4. Mode of benefit sharing for access to biological resource or associated knowledge for commercial utilisation under section 3 of the Act.—(1) When the biological resource including digital sequence information or knowledge associated thereto, is accessed for commercial utilisation, the applicant shall have to pay benefit sharing amount as per the Table given below:—

Sl. No.	Annual turnover of the person (in Indian rupee)	Amount payable on account of benefit sharing for access to biological resource for commercial utilisation (Percentage of annual gross ex-factory sale price of product excluding Government taxes)
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1	Up to 5 crore	Nil
2	Above 5 crore to 50 crore	0.2%
3	Above 50 crore to 250 crore	0.4%
4	Above 250 crore	0.6%

(2) Any person having an annual turnover of more than one crore rupees shall submit an annual statement containing information regarding the biological resource consumed in the financial year in Form A, within three months of finalisation of annual income tax or corporate tax return in respect of that financial year.

(3) The person liable to pay benefit sharing amount under this regulation shall make the payment digitally through web portal.

(4) In case of biological resource having conservation value or high economic value such as red sanders, sandalwood, agarwood or any other items as decided by the Authority from time to time, and including threatened species notified under section 38 of the Act, the benefit sharing shall not be less than five percent. of the proceeds of the auction or sale amount or the purchase price, as the case may be, as determined by the Authority on case to case basis, as upfront payment:

Provided that in case of biological resource having conservation value or high economic value such as red sanders, sandalwood, agarwood or any other items as decided by the Authority from time to time, and including threatened species notified under section 38 of the Act, including digital sequence information or knowledge associated thereto, the benefit sharing component

shall be twenty percent. more than the benefit sharing amount due as referred under sub-regulation (1) of this regulation.

Keywords/Triggers:

turnover based benefit sharing, 0.2 0.4 0.6 percent formula, annual gross ex-factory sale price, Form A annual statement, one crore turnover disclosure, high value resource 5 percent, DSI benefit sharing surcharge

Title: Prior Intimation and Benefit Sharing for Commercial Utilisation by Indian Entities (Section

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 5

Plain English Summary:

Regulation 5 is the equivalent process for purely Indian (section 7) applicants: give prior intimation to the State Board/UT Council via Form B, paying a modest fee (₹2,000 individual / ₹5,000 entity), with a 15-day disposal timeline and deemed approval if the Board doesn't respond in time. Critically, this regulation confirms the same turnover-based percentage table applies to Indian entities too — **and cultivated medicinal plants are completely exempt from the section 7 prior-intimation requirement altogether**. This is the key exemption most Ayurvedic manufacturers sourcing farmed herbs will rely on.

The Exact Legal Text:

5. Procedure for prior intimation for commercial utilisation by persons covered under section 7 of the Act.—(1) Any person who intends to access biological resource including digital sequence information or knowledge associated thereto, for commercial utilisation shall give prior intimation to the Board or Council through a web portal in Form B along with the fee (two thousand rupees in case of an individual and five thousand rupees in case of an entity) and the

applicant shall also give their consent to the mutually agreed terms and conditions appended to the said Form.

Provided that the provisions of section 7 of the Act shall not apply in case of access to cultivated medicinal plants as notified under section 40 of the Act.

(2) Upon submission of the prior intimation by the applicant, complete in all respect, it shall be disposed of by the Board or Council, within a period of fifteen days from the date of such submission, by either approving the request with or without modification in the mutually agreed terms and conditions in Form-C or by rejecting the request along with reasons for rejection in Form-D:

Provided that if the applicant does not sign the agreement as modified by the Board or Council, within a period of fifteen days, the application shall be closed under intimation to the applicant:

Provided further that the Board or Council may revive the closed application on receipt of payment of half of the fee as applicable, within a period of ninety days:

Provided also that the application shall not be rejected unless the applicant has been given a reasonable opportunity of being heard.

(3) Any person aggrieved by the rejection of the application under sub-regulation (1), may prefer an appeal to the Tribunal.

(4) If the Board or Council does not respond to the prior intimation Form of the applicant within a period of fifteen days, it shall be deemed to have been approved for a period of one year.

(5) In case there is a dispute which could not be settled between the applicant and the Board or Council, the matter shall be referred to the Authority by the Board or Council electronically which shall be disposed of within fifteen days.

(6) Any person aggrieved by any determination of the benefit sharing or order of the Authority or Board under this Act may prefer an appeal to the Tribunal.

(7) When the biological resource including digital sequence information or knowledge associated thereto, is accessed for commercial utilisation, the applicant shall have to pay benefit sharing amount as per the Table given below.—

Sl. No.	Annual turnover of the person (in Indian rupee)	Amount payable on account of Benefit sharing for access to biological resources for commercial utilisation [Percentage of annual gross ex-factory sale price of product excluding Government taxes]
1	Up to 5 crore	Nil
2	Above 5 crore to 50 crore	0.2%

3	Above 50 crore to 250 crore	0.4%
4	Above 250 crore	0.6%

Provided that, for persons manufacturing products containing both cultivated and non-cultivated medicinal plants, the benefit-sharing payment shall not be payable in respect of the products as notified by the Ministry of Environment, Forest and Climate Change, in consultation with the Authority and Ministry of Ayush, from time to time.

(8) In case of biological resource having conservation value or high economic value such as red sanders, sandalwood, agarwood or any other items as decided by the Authority from time to time, and including threatened species notified under section 38 of the Act, the benefit sharing shall not be less than five percent. of the proceeds of the auction or sale amount or the purchase price, as the case may be, as determined by the Board or Council, on case to case basis, as upfront payment:

Provided that in case of biological resource having conservation value or high economic value such as red sanders, sandalwood, agarwood or any other items as decided by the Authority from time to time, and including threatened species notified under section 38 of the Act, including digital sequence information or knowledge associated thereto, the benefit sharing component shall be twenty percent. more than the benefit sharing amount due as mentioned in sub-regulation (7) of this regulation.

(9) Any person having an annual turnover of more than one crore rupees shall submit an annual statement containing information regarding the biological resource consumed in the financial year in Form A, within three months of finalisation of annual income tax or corporate tax return in respect of that financial year.

(10) The person liable to pay benefit sharing amount in terms of this regulation shall make the payment digitally through web portal.

Keywords/Triggers:

cultivated medicinal plant exemption, section 7 prior intimation fee, Form B, deemed approval 15 days, mixed cultivated non-cultivated exemption, AYUSH consultation exemption, Indian entity benefit sharing

Title: Collection Fees Payable to the Biodiversity Management Committee

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 6

Plain English Summary:

Regulation 6 requires anyone seeking approval or giving prior intimation for commercial access to pay a separate local "collection fee" to the Biodiversity Management Committee, on top of the NBA/Board fees, per model guidelines the NBA issues. For an Ayurvedic sourcing team, this means budgeting for a local BMC fee in addition to the state/national-level charges.

The Exact Legal Text:

6. Collection fees.— Any person seeking prior approval or giving prior intimation for access to any biological resource for commercial purposes, shall pay a collection fee, as may be provided in the model guidelines formulated under clause (w) of rule 11 of the rules, on the web portal to be paid to the Committee under sub-section (3) of section 41 of the Act.

Keywords/Triggers:

BMC collection fee, local committee fee, model guidelines collection fee, commercial access fee to committee, section 41(3) fee

Title: Benefit Sharing for Sharing/Transferring Research Results or Obtaining IPR (Section 3 Applicants)

Jurisdiction: India

Category: Patents

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 7

Plain English Summary:

Regulation 7 sets the formula for foreign-linked applicants transferring research results or seeking IP rights: up to 5% of any monetary consideration received on a transfer, or — for patents specifically — up to 1% of ex-factory sale price if you self-commercialise, or up to 5% of licensing fees plus up to 5% of annual royalties if you assign/license to a third party. For an Ayurvedic company licensing a patented formulation abroad, this is the exact royalty-sharing math the NBA will apply.

The Exact Legal Text:

7. Mode of benefit sharing for sharing or transferring results of research relating to biological resource or traditional knowledge associated thereto.—(1) The applicant shall, in case of sharing or transfer of results of research under rule 15 of the rules shall pay to the Authority such monetary benefit or share non-monetary benefit, as agreed between the applicant and the Authority:

Provided that in case the monetary benefits have been received by the applicant, on such transfer, the applicant shall pay to the Authority up to five percent. of the monetary consideration:

Provided further that in cases of sponsored projects allowed prior to the date of commencement of these regulations, where no budget had been earmarked for payment of benefit sharing, the sponsoring organisation shall give an undertaking that in case the results of research are used for commercialisation, the benefits shall be shared with the Authority and the Indian person availing sponsorship of such projects shall keep the sponsor informed of this requirement.

(2) Any person covered under section 3 of the Act, who intends to use the results of research relating to biological resource or traditional knowledge associated thereto, for commercial utilisation, shall pay the benefit sharing amount to the Authority as provided under sub-regulation (1) of regulation 4.

(3) Any person covered under section 3 of the Act, who intends to use the results of research relating to biological resource including digital sequence information or traditional knowledge associated thereto, for obtaining intellectual property rights shall pay to the Authority as given below:—

(i) when the applicant himself uses the intellectual property rights for commercialisation, the monetary benefit sharing shall be in the range of up to one percent. based on sectoral approach, which shall be worked out on the annual gross ex-factory sale price of product excluding Government taxes, on case to case basis;

(ii) when the applicant assigns or licenses the intellectual property rights to a third party for commercialisation, the applicant shall pay to the Authority up to five percent. of the fee received (in any form including the license or assignee fee) and up to five percent. of the royalty amount received annually from the assignee or licensee, based on sectoral approach, on case to case basis.

Keywords/Triggers:

transfer of research results fee, 5 percent monetary consideration, patent royalty formula, license fee 5 percent, assignee royalty share, IPR benefit sharing foreign entity

Title: Benefit Sharing for Commercialisation of IPR by Section 3 (Foreign-Linked) Persons

Jurisdiction: India

Category: Patents

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 8

Plain English Summary:

Regulation 8 is the direct patent-commercialisation formula: self-commercialising a patented invention costs up to 1% of ex-factory sale price, but that obligation jumps by **25% more** if the invention involves traditional knowledge — a critical detail for Ayurvedic patents, since almost all of them draw on TK. Licensing to a third party instead costs up to 5% of the license fee plus

up to 5% of annual royalties. If the patent lapses but you keep using the resource commercially, you must separately re-apply and pay under Regulation 4.

The Exact Legal Text:

8. Mode of benefit sharing for commercialisation of intellectual property rights by persons covered under section 3 of the Act.— (1) The applicant shall pay to the Authority such monetary benefit or share non-monetary benefit, as agreed between the applicant and the Authority:—

(i) when the applicant himself uses the intellectual property rights for commercialisation, the monetary benefit sharing shall be in the range of up to one percent. based on sectoral approach, which shall be worked out on the annual gross ex-factory sale price of the product excluding Government taxes, on case to case basis:

Provided that in case the traditional knowledge is involved in the invention, the benefit sharing obligation shall be twenty-five percent. higher than the benefit sharing due:

Provided further that any person, if upon cease or revocation of the intellectual property rights, intends to access the biological resource including digital sequence information or traditional knowledge associated thereto, to be used in the product or process for which intellectual property rights were obtained, for commercial utilisation, shall seek prior approval, as provided under rule 13 of the rules and share the benefits as referred to under regulation 4.

Explanation.—In the event of the applicant accessing biological resource for commercial utilisation during the existence of intellectual property rights, the applicant shall share the benefits only under this regulation;

(ii) when the applicant assigns or licenses the intellectual property rights to a third party for commercialisation, the applicant shall pay to the Authority up to five percent. of the fee received (in any form including the license or assignee fee) and up to five percent. of the royalty amount received annually from the assignee or licensee, based on sectoral approach, on case to case basis.

(2) Any person who intends to access the biological resource including digital sequence information, for commercialisation of the intellectual property rights, shall apply to the Authority or the Board or Council, as the case may be.

Keywords/Triggers:

patent commercialisation formula, traditional knowledge 25 percent surcharge, self-commercialise 1 percent, license royalty 5 percent, patent lapse re-access, Ayurvedic patent benefit sharing

Title: Benefit Sharing for Commercialisation of IPR by Section 7 (Indian) Persons

Jurisdiction: India

Category: Patents

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 9

Plain English Summary:

Regulation 9 mirrors Regulation 8 but for purely Indian applicants: same up-to-1% self-commercialisation rate (with the same 25% TK surcharge), same up-to-5%+5% licensing formula. This confirms Indian and foreign-linked applicants pay identical percentage rates for patent commercialisation — the difference between them lies in the approval process (Rule 16), not the money.

The Exact Legal Text:

9. Mode of benefit sharing for commercialisation of intellectual property rights by persons covered under section 7 of the Act.— The applicant shall pay to the Authority such monetary benefit and or share non-monetary benefit, as agreed between the applicant and the Authority, as under,—

(i) when the applicant himself uses the intellectual property rights for commercialisation, the monetary benefit sharing shall be in the range of up to one percent. based on sectoral approach, which shall be worked out on the annual gross ex-factory sale price of the product excluding Government taxes, on case to case basis:

Provided that in case the traditional knowledge is involved in the invention, the benefit sharing obligation shall be twenty-five per cent. higher than the benefit sharing due:

Provided further that any person, if upon cease or revocation of the intellectual property rights, intends to access the biological resource including digital sequence information or traditional knowledge associated thereto, to be used in the product or process for which intellectual property rights were obtained, for commercial utilisation, shall seek approval and share the benefits as referred to under regulation 5.

Explanation.—In the event of the applicant accessing biological resource for commercial utilisation during the existence of intellectual property rights, the applicant shall share the benefits only under this regulation.

(ii) when the applicant assigns or licenses the intellectual property rights to a third party for commercialisation, the applicant shall pay to the Authority up to five percent. of the fee received (in any form including the license or assignee fee) and up to five percent. of the royalty amount received annually from the assignee or licensee, based on sectoral approach, on case to case basis.

Keywords/Triggers:

Indian patent commercialisation formula, section 7 IPR benefit sharing, 25 percent TK surcharge Indian applicant, royalty sharing Indian entity, patent revocation re-access

Title: Deposition of Novel Microbial Strains in Foreign Repositories

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 10

Plain English Summary:

Regulation 10 lets an Indian researcher deposit a newly discovered microbial strain abroad for publication/novelty claims (Form E), provided a voucher specimen is first deposited in a designated Indian repository. For an Ayurvedic microbiology researcher publishing internationally, this is the procedural bridge between Indian custody and foreign scientific journals.

The Exact Legal Text:

10. Deposition of novel microbial strain in the repositories outside India for publication.—(1) Any Indian researcher or scientist who has discovered a novel microbial strain from India and intends to deposit the same in the repositories outside India for publication in the journals for claiming novelty as per the agreed international requirements, shall apply on the web portal of the Authority in Form E as appended to these Regulations.

(2) The applicant shall deposit one voucher specimen in the designated repository as required under sub-section (3) of section 39 of the Act.

(3) The designated repositories in and outside India shall inform any user about the Indian legal requirements for obtaining prior approval of the Authority for undertaking any research or bio-survey and bio-utilisation or commercial utilisation as per section 3 of the Act:

Provided that if any researcher desires to refer to the voucher specimen for taxonomical identification purposes, such approval is not required.

(4) The applicant shall submit a copy of the acknowledgement of the receipt of voucher specimen issued by the designated repository concerned in India to the Authority.

Keywords/Triggers:

novel microbial strain deposit, foreign repository publication, voucher specimen deposit, Form E, taxonomical identification exemption, novelty claim microbiology

Title: Criteria for Determining Benefit Sharing Percentage

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 11

Plain English Summary:

Regulation 11 explains how the NBA actually decides where within a percentage range your benefit sharing falls — based on sector, quantity/sustainability of the resource, ecological impact, and technology used — and importantly allows a **lower rate for products developed to fight epidemics, pollution, food insecurity, or for biodiversity conservation**. This is a real discount opportunity if an Ayurvedic company's product has a public-health angle.

The Exact Legal Text:

11. Criteria for determination of benefit sharing.—(1) The benefit sharing by the applicant may be in monetary and or non-monetary modes, as mutually agreed with the Authority or the Board or Council in consultation with the Committee or the benefit claimer, on case to case basis, as provided in Form F appended to these regulations.

(2) Determination of benefit sharing under regulations 3, 4, 5, 7, 8 and 9 shall be sector specific and based on considerations such as nature and quantity of biological resource used and its sustainability, ecological impact, nature of technology applied, potential commercial use of the proposed activity, etc. and the Authority shall specify the formula for determining the percentage of benefit sharing component including upfront payment to be fixed on case to case basis, for undertaking different activities:

Provided that special consideration may be given to cases where access to biological resource including digital sequence information or knowledge associated thereto is for technologies or innovations or products that are developed leading to intellectual property rights for controlling epidemics, mitigating environmental pollution affecting human, animal or plant health, or for food security or conservation of biodiversity, and in such cases, the benefit sharing may be at a lower percentage in the range, as decided by the Authority or the Board or Council, on case to case basis:

Provided further that in the event of contribution to non-monetary benefit as mutually agreed, the monetary benefit sharing obligation, if any, may be reduced, as determined by the Authority or the Board or Council.

(3) The amount of benefit sharing shall remain the same whether the product contains one or more biological resources.

(4) Where the biological resource is sourced from the jurisdiction of two or more Boards or

Councils, the total amount of the accrued benefits shall be shared with the Boards or Councils concerned, proportionately, on a case to case basis.

Keywords/Triggers:

sector specific benefit sharing, epidemic lower rate discount, public health product exemption rate, multi-resource product single rate, cross-jurisdiction sharing, benefit sharing criteria

Title: Distribution of Benefits Between the Authority, Boards/Councils, and Benefit Claimers

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 12

Plain English Summary:

Regulation 12 is the exact split formula: 10–15% of any collected benefit goes to the Authority/Board (split further between NBA and the State Board), and the remaining 85–90% goes to the identified benefit claimers/local community — or the full amount stays with the Authority if the resource's source is unknown. For an Ayurvedic company negotiating benefit sharing, this confirms what portion actually reaches the community whose resource or knowledge was used, versus the administrative retention.

The Exact Legal Text:

12. Sharing of benefits among Authority, Board or Council and benefit claimer.—(1) Where approval has been granted by the Authority for research or for commercial utilisation or for sharing or transferring results of research or for intellectual property rights, the mode of benefit sharing shall be as under:—

(a) a minimum of ten percent. to maximum of fifteen percent. of the accrued benefits shall go to the Authority, out of which half of the amount may be retained by the Authority, as the case may be, and the other half may be shared with the Board or Council concerned;

(b) the remaining amount of benefit sharing shall be distributed among the benefit claimers including the Committee and in case where the biological resource including digital sequence information is accessed from an unknown source, the Authority may retain the full amount of the accrued benefit which may be utilised by the Authority in accordance with sub-section (2) of section 27 of the Act;

(c) where the biological resource including digital sequence information and or knowledge associated thereto is sourced from an individual or a group of individuals or organisations, the amount received under clause (b) shall be directly transferred to such individual or a group of individuals or organisations, in accordance with the terms and conditions of any agreement and in such manner as it deems fit.

(2) Where approval has been granted by the Board or Council, the mode of benefit sharing shall be as under:—

(a) a minimum of ten percent. to maximum of fifteen percent. of the accrued benefits shall be retained by the Board or Council;

(b) the remaining amount of benefit sharing shall be distributed among the benefit claimers including the Committee and in case the biological resource including digital sequence information is accessed from an unknown source, the Board or Council may retain the full amount of the accrued benefit, which may be utilised in accordance with sub-section (2) of section 32 of the Act;

(c) where the biological resource including digital sequence information or knowledge associated thereto is sourced from an individual or a group of individuals or organisations, the amount received under clause (b) shall be directly transferred to such individual or a group of individuals or organisations, in accordance with the terms and conditions of any agreement and in such manner as it deems fit.

(3) The interest earned on the benefit sharing amount deposited in the National Biodiversity Fund or the State Biodiversity Fund or Union territory Biodiversity Fund shall be utilised as per section 27 and section 32 of the Act, as the case may be.

(4) All penalties together with interest earned thereof accrued in the National Biodiversity Fund or the State Biodiversity Fund or the Union territory Biodiversity Fund concerned, shall be used to support conservation and sustainable use of the biological resources, promote livelihoods of the local people of the area where such biological resources occur and to undertake various activities to meet the objectives of the Act.

Keywords/Triggers:

10 to 15 percent administrative retention, benefit claimer distribution formula, unknown source resource retention, National Biodiversity Fund interest, penalty fund utilisation, community payout percentage

Title: Mandatory Terms of the Approval Agreement

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 13

Plain English Summary:

Regulation 13 lists what every NBA/Board approval agreement (under sections 3, 4, 6, 7) must legally contain — purpose, resource details, IPR terms, benefit type/amount, restrictions on third-party transfer, voucher-sample deposit obligations, and standard legal clauses (duration, termination notice, arbitration, confidentiality). For an Ayurvedic legal team reviewing an NBA agreement, this is the checklist of clauses that should appear in any properly drafted approval.

The Exact Legal Text:

13. The agreement for approvals.—The terms and conditions under the agreement for approval under sections 3, 4, 6 and 7 of the Act shall amongst other things, include the following, namely:—

- (a) general objectives and purpose;
- (b) details of the biological resource including digital sequence information or knowledge associated thereto including accompanying information;
- (c) intended uses of the biological resource including digital sequence information or knowledge associated thereto;
- (d) terms and conditions for the applicant while obtaining intellectual property rights;
- (e) nature and quantum of monetary or non-monetary benefits;
- (f) restrictions on sharing or transferring the results of research to any third party without prior approval of the Authority;

- (g) declaration by the applicant that whenever there is change in the status with regard to sub-section (2) of section 3 of the Act, intimation shall be given to the Authority or the Board or Council within a period of sixty days;
- (h) undertaking by the applicant to deposit a reference sample of the biological resource to be accessed, wherever required by the Authority or Board or Council, with the repositories so designated under section 39;
- (i) submission of periodic status reports by the applicant about research and other developments, as may be prescribed by the Authority or Board or Council;
- (j) obligation to abide by the provisions of the Act, rules and regulations, and other related laws in force in the country;
- (k) affirmation to facilitate measures for conservation and sustainable use of biological resource to be accessed;
- (l) assertion to minimise environmental impacts while collecting the biological resource;
- (m) legal provisions such as duration of the agreement, notice period to terminate the agreement, independent enforceability of clauses, provision regarding the extent to which the obligations relating to benefit sharing clauses survive the termination of the agreement, events limiting liability (natural calamities, etc.), arbitration, confidentiality clause, if any, etc;
- (n) any other condition which the Authority or Board or Council may consider necessary for the purposes of the Act.

Keywords/Triggers:

NBA agreement mandatory clauses, benefit sharing agreement terms, voucher sample deposit clause, third party transfer restriction, arbitration confidentiality clause, agreement termination notice

Title: Reporting Compliance With Approval Terms

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (ABS) Regulations, 2025, Regulation 14

Plain English Summary:

Regulation 14 simply requires the applicant to submit compliance reports per the terms of their approval. This is an ongoing reporting duty rather than a one-time filing.

The Exact Legal Text:

14. Reporting compliance with the terms and conditions of approval.— The applicant may submit a compliance report to the Authority or Board or Council in accordance with the terms and conditions under which approval is granted.

Keywords/Triggers:

compliance report NBA, ongoing reporting obligation, approval terms compliance, periodic compliance filing

Title: Fair and Equitable Benefit Sharing Options Menu (Form F)

Jurisdiction: India

Category: Biodiversity

Source Citation: Biological Diversity (ABS) Regulations, 2025, Form F (see Regulation 11)

Plain English Summary:

Form F is the indicative menu of benefit-sharing formats the NBA/Board can mix and match beyond a plain cash percentage — including milestone payments, venture capital funds, joint IP ownership, technology transfer, scholarships, and infrastructure like clean water/solar lighting for the source community. For an Ayurvedic company negotiating terms, this shows you can propose non-monetary contributions (training, tech transfer, joint ventures) to partly offset a cash benefit-sharing obligation.

The Exact Legal Text:

FORM F — Fair and equitable benefit sharing options (See regulation 11)

The following options, either one or more, may be applied in accordance with mutually agreed terms between the applicant and the National Biodiversity Authority or State Biodiversity Board or Union territory Biodiversity Council, on case to case basis, in accordance with the provisions of sections 21 and 23 of the Act. These options are indicative in nature and other options, as approved by the National Biodiversity Authority in consultation with the Central Government, may also be adopted:

(a) Monetary benefits options:

- i. Upfront payment;
- ii. One-time payment;
- iii. Milestone payments;
- iv. Share of the royalties and benefits accrued;
- v. Share of the license fees;
- vi. Contribution to National or State or Union territory or Local Biodiversity Funds;
- vii. Funding for research and development in India;
- viii. Joint ventures with Indian institutions and companies.

(b) Non-monetary benefits options:

- i. Providing institutional capacity building, including training on sustainable use practices, creating infrastructure (including disposal of waste/composting for a clean environment, providing safe drinking water/solar powered lights) and undertaking development of works related to conservation and sustainable use of biological resources;
- ii. Transfer of technology or sharing of research and development results with Indian institutions/individuals/entities; providing green technologies to the local people/communities;
- iii. Remediation and restoration activities to prevent habitat destruction or pollution or contamination of areas;
- iv. Strengthening of capacities for developing technologies and transfer of technology to India and/or collaborative research and development programmes with Indian

institutions/individuals/entities;

- v. Contribution/collaboration related to education and training in India on conservation and sustainable use of biological resources;
- vi. Setting up of production, research, and development units/facilities contributing to the local economy and income generation for the local communities;
- vii. Taking appropriate measures for conservation and protection of species including rare, endangered and threatened species by raising nurseries and/or plantations in the area from where biological resources have been accessed;
- viii. Instituting studies/projects on inventorisation and resource assessment of biodiversity;
- ix. Sharing of scientific information relevant to conservation and sustainable use of biological diversity including biological inventories and taxonomic studies;
- x. Conducting research directed towards priority needs in India including food, health and livelihood security focusing on biological resources;
- xi. Providing scholarships including living costs, etc., to individuals and financial aid to Indian institutions preferably to regions, tribes/sects contributing to the delivery of biological resources and subsequent profitability, if any;
- xii. Setting up of venture capital fund for aiding the cause of benefit claimers;
- xiii. Joint ownership of relevant intellectual property rights;
- xiv. Salaries and preferential terms where mutually agreed.

Keywords/Triggers:

non-monetary benefit sharing options, venture capital fund benefit sharing, joint ownership IP option, technology transfer option, milestone payment option, scholarship benefit sharing, Form F options menu